

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: adequate

Top improvement

Keep your units and time bases consistent, and sanity-check before drawing conclusions. When testing whether input inflation explains the COGS jump, stay in points of revenue: $10.5 \times 40\% = 4.2$ and $31.5 \times 37.5\% = 11.8$, which gives the full 16 points. Dividing inflated prior-period dollars by current revenue created a phantom 2.3-point 'waste' gap. That gap then shaped your levers, and the same habit produced the $25\% \times 58\%$ and $\text{overhead} \times 1.40$ errors.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a profit-equation hypothesis that prioritized the cost side, then asked for the one data cut that would test it.

"Since profit is revenue minus cost, and we know revenue actually grew 15%, the decline is almost certainly cost-side, but I'd still verify revenue quality. So three buckets."

"To start, could I get the cost breakdown as a percentage of revenue for both years? That'll tell me quickly where the 18 points of margin went."

What needs work

The first framework had a parallel 'external' bucket that duplicated drivers of the cost lines. Once the interviewer challenged MECE, the candidate rebuilt it cleanly, folding external factors into drivers and adding below-the-line items for net margin, but the fix came only after being asked.

"Third, external: commodity coffee prices, wage inflation, competitive pressure."

"I think there's overlap between my second and third buckets"

"So cleaner version: revenue, broken into price and volume and store count; operating costs, broken into COGS, labor, occupancy, and corporate; and below-the-line items — depreciation, interest, tax."

The objective (find the root cause and reverse it) was never restated, and the structure was not tied to the CEO's decision. Pricing power was also not framed as a lever to test.

"Thanks. Let me take a second to structure."

Missed opportunities

Opening framework in turn 1, before the interviewer had to ask whether it was MECE.

A great answer: "Our goal is to explain an 18-point margin drop despite 15% revenue growth, and tell the CEO how to reverse it. Profit is revenue minus cost. On revenue, I'd look at price versus volume versus store count, and whether we've kept pricing power against peers. On costs, I'd split COGS by input, labor, occupancy/overhead, and below-the-line items. Because revenue grew, I'd start with COGS as a share of revenue. If it's input inflation we haven't passed through, the decision becomes price versus procurement."

Quantitative & Analytical Rigor

needs work

What went well

The candidate decomposed the 18-point decline correctly, derived revenue from store data, and computed overhead dollar growth accurately.

"COGS went 42% to 58% — that's 16 points, and overhead's another 2, so 18 points, which is exactly the full margin decline from 24% to 6%. So COGS is basically the whole story."

"So overhead dollars grew from $12\% \times \$417\text{M}$ ~~\\$50M~~ to $14\% \times \$480\text{M}$ ~~\\$67M~~ — about 34% growth in absolute terms, well ahead of the 15% revenue growth."

What needs work

After correction, the candidate converted the bean share of COGS into points of revenue and sized beans and other inputs separately. However, inflating prior-period COGS dollars, which ignores ~15% volume growth, and dividing by current revenue mixed bases and created a phantom 2.3-point gap. In revenue-share terms, beans add 4.2 points and other inputs add 11.8, exactly the 16-point COGS increase.

"Total added input cost ~~\\$66M~~. Against today's $\$480\text{M}$ revenue that's about 13.7 points of margin — most of the 16-point COGS jump, with the rest likely waste or mix."

"On the gap: my inflation math explains about 13.7 of the 16 points, so roughly 2.3 points are unexplained — about \$11M on the \$480M base."

"Beans two years ago: 25% of 42% = 10.5% of revenue."

"So it's broad input inflation, not just beans."

Several errors were caught only after the interviewer prompted, never self-caught:

"Beans were 25% of COGS, and applying that 25% share to today's 58% COGS line gives 14.5% of revenue, or about \$70M on beans."

"If I take the 40% increase we saw on beans and apply it to that overhead line, $12\% \times 1.40 = 16.8\%$ "

The candidate claimed volume must be falling even though revenue grew 15% on flat stores. The ticket increase was also treated as a 'per-cup' price when it came from more items per visit. A one-line sanity check would have caught both.

"That means customers are already absorbing a price increase, which is why volume must be falling to offset it."

Missed opportunities

Turn 9, after redoing the bean math, the candidate got 13.7 points against a 16-point COGS increase.

A great answer: "Let me stay in revenue-share points so revenue growth doesn't distort it. Beans: 10.5 points $\times$ 40% = 4.2. Other inputs: $31.5 \times 37.5\% = 11.8$. That's 16.0, the whole COGS increase. Sanity check: $42\% \times 1.38$ is about 58%. So with flat menu prices, input inflation fully explains COGS. There is no residual waste gap."

Turn 17, sizing the price increase.

A great answer: "To get back to roughly 24% margin, prices need to restore COGS toward 42%. Since 58/42 is about 1.38, a full pass-through would be roughly 38%, which isn't realistic. So I'd target 8–12% on less elastic specialty SKUs and close the rest through procurement."

Data & Exhibit Interpretation

adequate

What went well

The candidate named COGS specifically as the driver and immediately asked what was inside it, rather than stopping at 'costs went up'.

"So COGS is basically the whole story."

"Do we have a split of what's inside COGS — beans versus dairy versus packaging?"

What needs work

The candidate read the exhibit's trend as chronic rather than a shock and tested beans against other inputs instead of stopping at beans. The candidate then concluded that part of the COGS increase was unexplained waste, but in revenue-share terms input inflation explains all 16 points, so that residual was an artifact of mixing bases.

"On the gap: my inflation math explains about 13.7 of the 16 points, so roughly 2.3 points are unexplained — about \$11M on the \$480M base."

"The exhibit says this is steady, not a shock — 42 to 50 to 58, eight points a year, each year. That's chronic, which fits input inflation running continuously rather than one bad harvest."

The candidate misread the overhead line by applying bean inflation to it, and drew the wrong conclusion until challenged.

"so overhead is actually being managed reasonably well relative to input trends."

Missed opportunities

Turn 11, when the interviewer asked what the exhibit shows and what remains of the 16-point COGS increase.

A great answer: "COGS accounts for 16 of the 18 points; labor is flat and overhead adds 2. In revenue-share terms, beans contribute 4.2 points and other inputs 11.8, so nothing in COGS is left unexplained. The so-what: this is unrecovered input inflation, not operational waste. Next I'd check competitor pricing to see how much we can pass through."

Business Judgment & Insight

adequate

What went well

The candidate named realistic risks and an implementable mitigation (a 20-store elasticity test).

"Risks: the price tolerance we observed came from mix, so a menu increase may land differently; competitors may not follow."

What needs work

The central evidence for pricing misread the data. A voluntary mix and basket increase was treated as proven price tolerance, which contradicts the candidate's own turn-7 point that this was mix.

"Customers tolerated 10% without churning, so a 6-8% menu increase is well within proven willingness to pay."

The candidate correctly identified unrecovered input inflation, with menu prices frozen, as the root cause and chose price plus procurement as the levers. The candidate also proposed waste and labor levers that rested on a phantom gap or lacked supporting evidence; labor was stable as a share of revenue.

"Fourth, waste: that unexplained ~2.3 points is addressable with portion standards and spoilage tracking."

"Costs rose; price didn't. That's the root cause."

"My recommendation: take price first, immediately, and pair it with procurement."

Missed opportunities

Turn 17, when justifying price as the lead lever.

A great answer: "Price leads because it's the only lever big enough to offset a 38% input-cost rise. I'd do it selectively, around 8–12% on specialty drinks where demand is less elastic, and benchmark against competitors first. Labor and overhead aren't where the margin went, so I wouldn't lead with cuts there."

Creativity & Brainstorming

adequate

What needs work

The candidate produced five distinct levers spanning pricing, procurement, menu mix, waste, and labor, and prioritized them when asked. However, they came as a flat numbered list with no organizing mini-structure (e.g., revenue versus cost, or near-term versus structural), and most were conventional.

"A few levers beyond cost control."

"Third, menu engineering: push the higher-margin items customers are already trading up into, and trim low-margin SKUs with volatile inputs — dairy especially, since other inputs rose 37.5% and are the larger dollar block."

One of the five levers was built on the phantom unexplained gap rather than on evidence.

"Fourth, waste: that unexplained ~2.3 points is addressable with portion standards and spoilage tracking."

Missed opportunities

Turn 15 brainstorm.

A great answer: "I'll split this into recovering price and lowering input cost. On price: selective increases on specialty SKUs, plus bundles that lift ticket size. On cost: hedging and multi-year bean contracts, renegotiating dairy and packaging, and a less obvious one, a lower-cost house blend or alternative-milk mix for value-sensitive locations. I'd prioritize price, then procurement, because that's where the 16 points came from."

Synthesis & Recommendation

adequate

What went well

The recommendation was answer-first and concise, with explicit risks and concrete next steps.

"My recommendation: take price first, immediately, and pair it with procurement."

"Next steps: price elasticity test in 20 stores, and pull the overhead split."

What needs work

The supporting reasons were partly inaccurate. The candidate called the entire 18 points input inflation, though the candidate had already isolated 2 points as overhead. The demand evidence also rested on a misread of the ticket data.

"The entire 18-point decline is input inflation — beans up 40%, other inputs up 37.5% — and Brew & Bean has absorbed every dollar of it because menu prices haven't moved in two years."

"Customers tolerated 10% without churning, so a 6-8% menu increase is well within proven willingness to pay."

Missed opportunities

Final recommendation in turn 17.

A great answer: "Raise prices selectively and lock in procurement. First, 16 of the 18 points are COGS, and input inflation of about 38% fully explains them because menus have been frozen for two years. Second, labor is flat and overhead is only 2 points, so cost-cutting won't close the gap. Third, specialty drinks give us room to price where demand is least elastic. The key risk is elasticity and competitor response. Next steps: a 20-store price test, a competitor price benchmark, and renegotiating dairy and packaging alongside beans."

Communication & Delivery

adequate

What went well

The candidate built directly on interviewer cues, restating the corrected logic crisply.

"They didn't tolerate a price increase — there wasn't one. Menu prices were flat."

What needs work

The candidate generally signposted clearly with numbered buckets and levers and used hypothesis-led phrasing. In turn 5, however, the candidate announced a sizing exercise that was never carried out and jumped to an unsupported volume claim, which broke the top-down flow.

"If I take today's 58% and apply it against the revenue base from two years ago, that tells me what the bean and milk inflation actually cost them in real dollars"

"Since profit is revenue minus cost, and we know revenue actually grew 15%, the decline is almost certainly cost-side, but I'd still verify revenue quality. So three buckets."

Missed opportunities

Turn 5, after receiving the cost data.

A great answer: "Headline: COGS explains 16 of the 18 points, so that's where I'll focus. Two things next. First, I'll test whether flat menu prices mean inflation went unrecovered. Second, I'd like the COGS split by input to size each driver."

Pushback, Composure & Case Leadership

strong

What went well

The candidate acknowledged each challenge specifically and updated with explicit reasoning, without becoming defensive. Still, nearly every correction needed an interviewer prompt, and in turn 17 the candidate reintroduced the 'tolerated a price increase' claim despite having identified it as mix in turn 7.

"It wouldn't, honestly. That was sloppy — the 40% is raw coffee bean inflation, which flows through COGS."

"Menu prices are flat, so the only way the per-cup price gets to \$6.80 from \$6.20 is mix — customers trading up to pricier drinks."

Under the final challenge, the candidate separated what changed from what held: the evidence for elasticity was withdrawn, but price stayed the lead lever, with the test upgraded to a prerequisite.

"So I've overstated the evidence for pricing. I'd keep price as the lead lever, since it's still the only thing that scales against 40% input inflation — but I can't claim demonstrated elasticity. That makes the 20-store test a prerequisite, not a follow-up."

The candidate drove the case proactively by requesting the right data at each step.

"Could I also get menu price history over the two years? That'd settle the price-versus-volume question fast."

Missed opportunities

Turn 17, before the interviewer's final challenge.

A great answer: "One caveat on my own evidence: the move from \$6.20 to \$6.80 was mix, not a price increase. So I'm not claiming proven elasticity. That's why the 20-store test comes before any rollout."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a moment, then walk me through how you'd approach this.

Candidate · 1:30

Thanks. Let me take a second to structure.

Since profit is revenue minus cost, and we know revenue actually grew 15%, the decline is almost certainly cost-side, but I'd still verify revenue quality. So three buckets.

First, revenue: is the 15% growth coming from new store openings versus same-store sales? And is it price or volume — if they discounted heavily, revenue could grow while unit economics worsen.

Second, costs: I'd split into COGS — coffee beans, milk, cups — and operating costs like labor, rent, utilities, and then corporate overhead. I want to see which line grew fastest relative to revenue.

Third, external: commodity coffee prices, wage inflation, competitive pressure.

To start, could I get the cost breakdown as a percentage of revenue for both years? That'll tell me quickly where the 18 points of margin went.

Interviewer · 1:33

On the data you asked for — I'll come to that shortly. Before I give you data, is that structure MECE — what's missing or overlapping?

Candidate · 3:03

Fair challenge. I think there's overlap between my second and third buckets — commodity coffee prices and wage inflation aren't really a separate category, they're drivers of the COGS and labor lines I already listed. So I'd fold external factors in as causes rather than a parallel bucket.

On what's missing: I didn't account for anything below the operating line. Net margin, not operating margin, so interest expense matters — if they financed expansion with debt, that hits net profit without touching COGS or labor. Same for D&A on new stores and taxes.

So cleaner version: revenue, broken into price and volume and store count; operating costs, broken into COGS, labor, occupancy, and corporate; and below-the-line items — depreciation, interest, tax. External forces sit underneath as drivers.

Could I also get menu price history over the two years? That'd settle the price-versus-volume question fast.

Interviewer · 3:07

Okay. Let's start with the cost side and the pricing side. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Menu prices have not changed in two years. The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Before we wrap, on what you asked about earlier: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed.

Candidate · 4:44

Okay, that's clarifying. Let me work it.

COGS went 42% to 58% — that's 16 points, and overhead's another 2, so 18 points, which is exactly the full margin decline from 24% to 6%. So COGS is basically the whole story.

Let me size it. If I take today's 58% and apply it against the revenue base from two years ago, that tells me what the bean and milk inflation actually cost them in real dollars — and since the footprint is flat at 200 stores, none of this is expansion drag.

And the pricing side confirms it. Prices haven't moved, but the average cup is now \$6.80 versus \$6.20 — so the per-cup price did rise about 10% on its own. That means customers are already absorbing a price increase, which is why volume must be falling to offset it.

Do we have a split of what's inside COGS — beans versus dairy versus packaging?

Interviewer · 4:51

Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Separately, you said the per-cup price rose about 10% on its own, so volume must be falling. Walk me through that, given what we know about menu prices and what's in the average ticket. Before we wrap, on what you asked about earlier: Average revenue per store is \$2.4M a year.

Candidate · 6:22

Let me walk it. Menu prices are flat, so the only way the per-cup price gets to \$6.80 from \$6.20 is mix — customers trading up to pricier drinks. So effectively a 10% realized price increase per cup without a menu change.

Now, revenue grew 15% and the footprint is flat at 200 stores, so all of it is same-store. If price per cup is up 10% and total revenue is up 15%, cups are only up about 5% — $1.15 \div 1.10 = 1.045$. So volume is nearly flat while the ticket carries the growth.

Sizing the bean hit: 200 stores at \$2.4M is \$480M revenue. Beans were 25% of COGS, and applying that 25% share to today's 58% COGS line gives 14.5% of revenue, or about \$70M on beans. At 40% inflation, that's roughly \$20M of added cost — about 4 points of margin from beans alone.

Interviewer · 6:24

You paired the 25% bean share with today's COGS line. Which period does that share belong to, and does it pair with that base?

Candidate · 7:54

You're right, the 25% is a two-years-ago figure, so it pairs with the 42% COGS line, not the 58%. Let me redo it.

Beans two years ago: 25% of 42% = 10.5% of revenue. Other inputs: the remaining 75% of 42% = 31.5% of revenue.

And I should use the prior-year revenue base too. Today is \$480M, revenue grew 15%, so two years ago was $480 / 1.15 \approx \$417\text{M}$.

So beans then were $10.5\% \times \$417\text{M} \approx \44M . Up 40%, that's about \$61M — roughly \$17M added.

Other inputs: $31.5\% \times \$417\text{M} \approx \131M . Up 37.5%, that's \$180M — about \$49M added.

Total added input cost $\approx \$66\text{M}$. Against today's \$480M revenue that's about 13.7 points of margin — most of the 16-point COGS jump, with the rest likely waste or mix.

So it's broad input inflation, not just beans.

Interviewer · 7:57

Understood. Exhibit A shows the cost structure over time. Looking at it alongside your numbers, what does it tell you, and what's left of the 16-point COGS increase that your input inflation doesn't explain?

[\[Exhibit shown: Brew & Bean Cost Structure Over Time\]](#)

Candidate · 9:27

The exhibit says this is steady, not a shock — 42 to 50 to 58, eight points a year, each year. That's chronic, which fits input inflation running continuously rather than one bad harvest.

On the gap: my inflation math explains about 13.7 of the 16 points, so roughly 2.3 points are unexplained — about \$11M on the \$480M base. That's real money. Candidates would be waste and spoilage, shrink, portion control drifting as baristas handle more items per ticket, or supplier terms worsening.

One thing I'd flag: overhead went 12 to 14 points. If I take the 40% increase we saw on beans and apply it to that overhead line, $12\% \times 1.40 = 16.8\%$ — we'd expect worse than 14%, so overhead is actually being managed reasonably well relative to input trends.

And labor holding at exactly 22% while revenue grew 15% means labor dollars grew 15% too — so they haven't gained any leverage from the bigger ticket.

Interviewer · 9:29

Walk me through the overhead comparison. Why would the bean cost increase apply to the overhead line in the first place?

Candidate · 11:00

It wouldn't, honestly. That was sloppy — the 40% is raw coffee bean inflation, which flows through COGS. Overhead is rent, utilities, corporate, marketing; there's no mechanism by which bean prices drive it. I was pattern-matching a number I had onto a line it doesn't belong to.

The right read on overhead is simpler: it went from 12% to 14% of revenue while revenue itself grew 15%. So overhead dollars grew from $12\% \times \$417\text{M} = \50M to $14\% \times \$480\text{M} = \67M — about 34% growth in absolute terms, well ahead of the 15% revenue growth. That's not well managed, it's the opposite. Something in there is growing faster than the business.

I'd want the overhead split before concluding, but as it stands it's 2 points of the 18, versus 16 from COGS. Still a secondary issue.

Interviewer · 11:02

Okay. Beyond what we've discussed, what else could the client do to reverse the margin decline?

Candidate · 12:32

A few levers beyond cost control.

First, pricing. Menu prices haven't moved in two years while inputs rose 40%. That's the biggest untapped lever — and the ticket data suggests headroom, since customers already absorbed a move from \$6.20 to \$6.80 per cup without resisting. A 5% menu increase on \$480M is \$24M straight to the bottom line, roughly 5 points of margin, if volume holds.

Second, procurement: lock in forward contracts or hedge beans, consolidate suppliers, renegotiate on the strength of 200 stores.

Third, menu engineering: push the higher-margin items customers are already trading up into, and trim low-margin SKUs with volatile inputs — dairy especially, since other inputs rose 37.5% and are the larger dollar block.

Fourth, waste: that unexplained ~2.3 points is addressable with portion standards and spoilage tracking.

Fifth, labor's flat at 22% but got no leverage from growth — scheduling against traffic could free a point.

Interviewer · 12:35

Understood. Of those levers, which would you put first, and what's your recommendation to the CEO?

Candidate · 14:05

My recommendation: take price first, immediately, and pair it with procurement.

Here's why. The entire 18-point decline is input inflation — beans up 40%, other inputs up 37.5% — and Brew & Bean has absorbed every dollar of it because menu prices haven't moved in two years. Costs rose; price didn't. That's the root cause.

Price is first because it's fastest and the demand evidence is already in hand: per-cup price went from \$6.20 to \$6.80, a 10% increase, and volume still grew about 5%. Customers tolerated 10% without churning, so a 6-8% menu increase is well within proven willingness to pay. On \$480M, 7% is about \$34M, or 7 points of margin.

Procurement runs in parallel — hedging and supplier consolidation to stop the eight-points-a-year bleed.

Risks: the price tolerance we observed came from mix, so a menu increase may land differently; competitors may not follow.

Next steps: price elasticity test in 20 stores, and pull the overhead split.

Interviewer · 14:07

You described the move from \$6.20 to \$6.80 as customers tolerating a price increase. What did customers actually do there, and does that tell you how they'll react to a higher menu price?

Candidate · 15:38

They didn't tolerate a price increase — there wasn't one. Menu prices were flat. What they did was voluntarily buy more, or trade up to pricier drinks. That's a mix and basket effect, and it's a choice the customer made, not a cost imposed on them.

Those are very different signals. Someone adding a pastry or picking a larger latte is revealing they'll spend more when they want more. That says nothing about whether they'll pay \$4.80 for the same drink that was \$4.50 yesterday. The first is discretionary upside, the second is a straight hit to perceived value — and it's the item they buy every morning, so it's the most price-salient thing in the basket.

So I've overstated the evidence for pricing. I'd keep price as the lead lever, since it's still the only thing that scales against 40% input inflation — but I can't claim demonstrated elasticity. That makes the 20-store test a prerequisite, not a follow-up.

Interviewer · 15:40

That's time. Thanks for working through it — your written report will follow.